

## Garibi Hatao, the SKS Way

There were two blockbuster public issues in 2010. I did not participate in either, but enjoyed the intellectual debates over the IPOs of SKS Microfinance, the first of two microfinance companies to hit the market in August. The size of the issue was a little over Rs 1,650 crore, consisting of a fresh issue of shares for Rs 733 crore and sale by the existing investors of the rest of the shares.

Microfinance being a new concept for the stock market, there was a lot of excitement and hype about the issue. Few understood the business model. They only knew that MFIs loaned money to the financially weakest sections of society – the poorest of the poor – who had no access to banks and other traditional sources of funds.

SKS, founded by 41-year-old Indian American Vikram Akula, drew applause, awe, and also scathing criticism for its decision to go public. The sceptics included the Nobel Prize-winning economist and pioneer of microfinance in Bangladesh, Mohammed Yunus. His contention was that the IPO would send a wrong message – that there was money to be made off poor people. After all, microfinance firms generally charged interest rates of anywhere between 30 per cent and 50 per cent to compensate for a higher risk of default by its borrowers. If an MFI's rate of loan defaults was low, it stood to make handsome returns on its investment. Supporters of the IPO were convinced that an IPO success for SKS would encourage many other microfinance firms to raise money from the stock market and scale up their operations. They said this would lead to more competition among